# Reading the Clarity Act

Blockchain SIG
Wednesday, November 11th, 2026

# Background

- Motivation for the bill
  - Categorize cryptocurrencies / digital assets
    - The commodity vs. security distinction matters enormously for agency jurisdictional concerns (SEC vs. CFTC)
  - Support innovation
    - **Historical context.** "Regulation through enforcement" in the previous administration
  - Consumer and investor protection
  - Combat illicit finance
- Reality of the bill
  - Very unlikely to pass in its current form.
  - Instead, we are receiving agency rule making (RegCryto from the SEC; RegCTX & RegCAM from the CFTC)
  - Still, tons to learn from the bill!

# Timeline

## A tumultuous year

1. *May 5, 2025*. Initial proposal
2. *July 17, 2025*. Passes house 294-134 (78 democrats)
3. *Jan 14, 2026*. Brian Armstrong comes out against the banking version
4. *May 1, 2026*. Stablecoin compromise
5. *June 30, 2026*. Trump family reports $1.4 billion in crypto income for 2025
6. *July 22, 2026*. Ag and Banking committee revisions
7. *August 6, 2026*. No vote before recess.
8. *Sept 10-14, 2026*. Final revisions adding ethics
9. *Sept 15, 2026*. Motion to advance fails 49-50 (60 needed)
10. *Nov 3, 2026*. Midterms, "blue tsunami"

# Timeline

## A tumultuous year



# Reading the bill

## Three focus areas

1. Defining "network tokens"
2. Who do the regulations apply to
3. Stablecoin yield

- For each focus area, we will
  - read the text,
  - provide context, and
  - discuss.
- Extras (other potentially interesting rules).
  - Mixers (e.g., Tornado Cash)
  - Value accrual of cryptocurrencies
  - Security councils / emergency powers
  - Self custody
  - Ethics (TRUMP & MELANIA coins)

# Focus area #1: defining "network tokens"

## Passage 1 of 4. 10102.4B(a)(7)(A)

"(7) NETWORK TOKEN.—

"(A) IN GENERAL.—The term 'network token' means a digital asset that is intrinsically linked to a distributed ledger system and that derives, or is reasonably expected to derive, its value from the use of such distributed ledger system, and, pursuant to the Digital Asset Market Clarity Act and the amendments made by the Digital Asset Market Clarity Act, is treated as a non-security solely for purposes of the securities laws.

# Focus area #1: defining “network tokens”

## Passage 1 of 4. 10102.4B(a)(7)(A)

- Categorizes a lot of crypto assets as non-securities
- “derives, or is reasonably expected to derive, its value from the use of such distributed ledger system”
  - ↳ **Conjecture:** written by Solana / Hyperliquid

# Focus area #1: defining "network tokens"

## Passage 2 of 4. 10104(b)(2)(B)

(B) PERMISSIONLESS AND CREDIBLY NEUTRAL DIGITAL SYSTEM.—The extent to which a person or group of persons under common control has—

(i) the unilateral authority, via operation of the distributed ledger system, to restrict, censor, or prohibit use of the distributed ledger system, including any applicable system-based user activity; or

(ii) private permissions, hard-coded privileges, or similar capabilities granted by the source code of the distributed ledger system that provides preferential treatment compared to other similarly situated persons.

# Focus area #1: defining “network tokens”

## Passage 2 of 4. 10104(b)(2)(B)

- “unilateral authority ... to restrict, censor, or prohibit use”
  - ↳ Ties the protocol architecture to the categorization of the token
- “preferential treatment”
- L2s
  - ↳ **Conjecture**: written by Coinbase (counter-intuitive!)

# Focus area #1: defining "network tokens"

Passage 3 of 4. 10104(b)(2)(C)

(C) DISTRIBUTED DIGITAL NETWORK.—The extent to which a person or group of persons under common control has beneficial ownership of, in the aggregate, more than 49 percent of the total amount of outstanding units of the ancillary asset or voting power with respect to any governance system that relates to the distributed ledger system.

# Focus area #1: defining "network tokens"

Passage 3 of 4. 10104(b)(2)(C)

- 49% ownership *of the token*
- Doesn't consider majority of hash power
- Doesn't consider majority of nodes
- Doesn't consider majority of stake,
  - ↳ ... unless stake is viewed as a *governance system*

# Focus area #1: defining “network tokens”

## Passage 4 of 4. 10104(a)(3)

(3) DISTRIBUTED LEDGER CONTROL PERSON.—The term “distributed ledger control person” means, with respect to a distributed ledger system, any person or group of persons under common control, other than a decentralized governance system, that has the unilateral authority, directly or indirectly, through any contract, arrangement, understanding, relationship, or otherwise, to control or materially alter the functionality, operation, or rules of consensus or agreement of the distributed ledger system or a related ancillary asset.

# Focus area #1: defining “network tokens”

## Passage 4 of 4. 10104(a)(3)

- “any person *or group of persons*”
- “through *any* contract, arrangement, understanding, relationship, or otherwise”
- ”rules of consensus”
- Ethereum All Core Devs vs. Solana Foundation vs Hyperliquid
- *What about L2s?*

# Focus area #2: who do the regulations apply to

## Passage 1 of 2. `10601.27C(b)`

"(b) APPLICATION TO SOFTWARE DEVELOPERS.—Notwithstanding any other provision of this Act, a person shall not be subject to this Act and the regulations promulgated under this Act solely based on the person engaging in any of the following activities, whether singly or in combination, in relation to the operation of a distributed ledger system or any component thereof:

"(1) Compiling network transactions or relaying, searching, sequencing, validating, or acting in a similar capacity.

"(2) Providing computational work, operating a node or oracle service, or procuring, offering, or utilizing network bandwidth, or providing other similar incidental services.".

# Focus area #2: who do the regulations apply to

## Passage 1 of 2. `10601.27C(b)`

- "relaying, searching, sequencing, validating" + "operating a node, [] procuring, offering, or utilizing"
- N.b. the level of specificity and technical depth
- **Implication.** If you are doing those things, you don't have to register
  - ↳ Hard to square with goals of mitigating illicit finance

# Focus area #2: who do the regulations apply to

## Passage 2 of 2. 10302(a)(1)

(1) DISTRIBUTED LEDGER MESSAGING SYSTEM.—The term "distributed ledger messaging system"—

(A) means a web-hosted software application that provides a user with the ability to create or submit an instruction, communication, or message to a distributed ledger application or decentralized finance trading protocol for the purpose of executing a transaction by the user; and

(2) blocking, rejecting, preventing the routing of, or otherwise restricting attempted transactions prohibited by United States sanction laws;

# Focus area #2: who do the regulations apply to

## Passage 2 of 2. 10302(a)(1)

- Web front-ends have to block transactions (they already do)
  - ↳ Distinction between running the *protocol* vs. running a *messaging system*
- Notably, web front-ends *don't* have to register as money transmitters

# Focus area #3: Stablecoin yield

## Passage 1 of 2. 10404(b)(1)

(b) SENSE OF CONGRESS.—It is the sense of Congress that—

(1) depository institutions provide financial services that are integral to the strength of the economy of the United States and that the payment of consideration by digital asset service providers to United States customers or users based on their payment stablecoin balances in a manner that is economically or functionally equivalent to the payment of interest or yield on an interest-bearing bank deposit may inhibit the key functions of depository institutions in the economy of the United States; and

(2) payment stablecoins represent a significant innovation in financial infrastructure that can strengthen the United States payments system and the primacy of the United States dollar and that activity-based rewards and incentives tied to the use of payment stablecoins and participation in distributed ledger systems are critical to enabling innovation, competition, and consumer adoption.

# Focus area #3: Stablecoin yield

## Passage 1 of 2. 10404(b)(1)

- "may inhibit the key functions of depository institutions in the economy of the United States"
  - ↳ Banking lobby protecting banking business model
- "incentives tied to the use of payment stablecoins ... are critical to ... consumer adoption"
  - ↳ Coinbase fighting for their competitive edge
- "primacy of the United States dollar"
  - ↳ Dollar hegemony *has always been* the raison d'être of pushing stablecoin regulations & adoption

# Focus area #3: Stablecoin yield

## Passage 2 of 2. 10404(c)(2)(A)

(2) ACTIVITY-BASED OR TRANSACTION-BASED REWARDS AND INCENTIVES PERMITTED.—

(A) IN GENERAL.—The prohibition under paragraph (1) shall not apply with respect to rewards or incentives based on bona fide activities or bona fide transactions that are not economically or functionally equivalent to the payment of interest or yield on an interest-bearing bank deposit pursuant to the regulations promulgated under paragraph (3).

# Focus area #3: Stablecoin yield

## Passage 2 of 2. 10404(c)(2)(A)

- **The Tillis-Alsobrooks Compromise**
- "not economically or functionally equivalent to the payment of interest or yield on an interest-bearing bank deposit"
- "[restrictions] shall not apply with respect to rewards or incentives based on bona fide activities"
- ↳ ... but how do we determine "bona fide activities"?
- ↳ Coinbase's incentive is to become a neobank

# Thanks!